

BFS Synthetic Bank

Credit & Loan Policy — Version 2.1

Effective date: 1 October 2026 | **Review date:** 31 March 2027

Important notice: Fictional internal policy created for a RAG assignment. It does not represent a real bank's lending policy.

Credit Assessment

- Credit assessment may consider verified income, existing financial obligations, requested loan amount, repayment capacity, employment or business stability, collateral where applicable, and relevant credit information.
- Applicants may be asked for additional documentation when information is incomplete or requires verification.
- Application submission does not guarantee loan approval.

Approval and Authorization

- Approval authority depends on product type, requested exposure, borrower risk category, and applicable internal authorization limits.
- Exceptions to standard credit parameters require documented approval from an authorized credit function.
- Material related-party or conflict-of-interest cases require enhanced review.

Repayment and Monitoring

- Borrowers should review installment amounts, due dates, interest terms, and applicable fees before accepting a facility.
- Delinquent facilities are subject to monitoring and escalation according to the bank's collections process.
- Loans showing increased risk indicators may be moved to enhanced monitoring.

Early Repayment

- Customers requesting early repayment should review the applicable product terms.
- Any applicable early-repayment charge must be confirmed through the official servicing process.